

# Duplicate Invoice Detection

|               |        |           |                          |
|---------------|--------|-----------|--------------------------|
| Test code     | GL-001 | Category  | General Ledger           |
| Logic version | 1.0.0  | Test type | Exception identification |

## Purpose

This test identifies invoice numbers that appear more than once in the submitted transaction data. Repeated invoice numbers may indicate duplicate recording, duplicate payment, reuse of an invoice reference, a correction or reversal, or multiple accounting lines relating to one valid invoice.

**The result is an indicator for further audit scrutiny. It does not, by itself, confirm an error, duplicate payment or fraud.**

## Risk addressed

The test addresses the risk that expenditure, liabilities, assets or cash payments may be misstated because the same invoice was processed more than once. It may also identify weaknesses in controls intended to prevent duplicate invoice entry or payment.

## Relevant audit assertions

|                           |                                                                                  |
|---------------------------|----------------------------------------------------------------------------------|
| Occurrence                | A repeated invoice may not represent a separate valid transaction.               |
| Accuracy                  | Duplicate processing may cause amounts or account balances to be overstated.     |
| Other possible assertions | Classification and cut-off may also be relevant, depending on the circumstances. |

## Data required

|             |                                                                                                                                 |
|-------------|---------------------------------------------------------------------------------------------------------------------------------|
| Mandatory   | Invoice Number                                                                                                                  |
| Recommended | Vendor Number, Transaction Date, Journal Number, Amount, Account Code, Description, Prepared By, Approved By and Source Module. |

## How the test works

- Blank invoice numbers are excluded from duplicate testing.
- Invoice numbers are standardised by trimming surrounding spaces and ignoring differences in letter case.
- Each invoice number is counted across the selected dataset.
- Every invoice number appearing two or more times is flagged.
- All related transaction records are returned for auditor review.

**Exception wording: Repeated invoice number - further scrutiny required.**

## How to interpret the results

A repeated invoice number may be legitimate where one invoice is allocated across several accounts or cost centres, relates to a credit note or reversal, is paid in parts, or generates several ledger lines. The auditor should inspect supporting invoices, payment records, approvals and relevant system information before reaching a conclusion.

## Suggested follow-up

- Confirm whether the records relate to the same supplier.
- Compare dates, amounts, descriptions and journal numbers.
- Inspect the invoice, payment voucher and approval evidence.
- Determine whether payment occurred more than once.
- Verify whether one record was reversed or corrected.
- Assess whether duplicate-prevention controls operated effectively.

## Professional basis

This procedure may support the identification and assessment of risks, the design of audit responses, the use of analytical procedures and the collection of audit evidence. Relevant references include ISSAI 2315, ISSAI 2330, ISSAI 2500 and ISSAI 2520. Where intentional manipulation is suspected, ISSAI 2240 may also be relevant. The AFROSAI-E Regularity Audit Manual recognises computer-assisted audit techniques and requires substantive procedures to be documented and supported by sufficient appropriate audit evidence.

## Limitation

This test identifies repeated invoice numbers only. It does not prove that an invoice was duplicated, paid twice or processed fraudulently. Final conclusions must be based on supporting audit evidence and professional judgement.

## Reference

*AFROSAI-E, Regularity Audit Manual, 2013, particularly the guidance on computer-assisted audit techniques, detailed planning and fieldwork, substantive audit procedures and audit evidence.*